GMS WEEKLY

Your Source for Recycling News

August 11th, 2023
Volume 252, Issue 1095
Week 32

Highlights:

- **Inert week.**
- **Dying appetite.**
- **Weak.**
- **India for LCs.**
- **Withdraw.**
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QUOTE of the WEEK

"It is better to fail in originality than to succeed in imitation."

– Herman Melville

MARKET COMMENTARY

TERRIBLE!

It has been another intensely inert week in the Indian sub-continent ship recycling markets, with Bangladesh sinking to the bottom of the price-ranking board and neighboring India & Pakistan taking the lead (in terms of pricing and ability to secure unsold tonnage currently on offer).

Not only does the Bangladeshi market have a vanishing appetite for vessels at any sensible levels, but the lack of L/C and financing approvals also appears to be making local resales just as difficult, even months after the budget was announced and even amidst this most challenging of times.

At least Pakistan has shown some promise and appetite to come back into the picture, with further discussions on unsold units reported as this market leapfrogs past India's prices, which still have the advantage of, and are backed by, L/C and financing abilities on units of any size, especially when compared to the Pakistani & Bangladeshi markets.

Ironically, despite being the most reliable of the sub-continent destinations on L/C / financing issues, Indian prices continue to underwhelm as most Alang Buyers seem content on waiting-and-watching market movements before offering firm once again.

Consequently, we have witnessed many Owners withdrawing their vessels from the market entirely, so disastrous has been the ongoing decline in levels, and it may not even be worth considering the recycling option for some Owners - especially not at some of the ridiculously opportunistic numbers.

In terms of supply of vessels, amidst a dire weakening of sentiments from this sector, it continues to primarily be a flow of dry bulk units. Moreover, a majority of containers (even those with surveys due) continue down the trading lanes and have been mostly missing from the recycling markets of late.

Finally, on the far end, the Turkish market remains unchanged and inert for another week, with fundamentals facing opposite directions and no news of market units being proposed.

For week 32 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Pakistan*	Weak	520 / LDT	540 / LDT	560 / LDT
2	India	Weak	510 / LDT	530 / LDT	550 / LDT
3	Bangladesh*	Weak	500 / LDT	520 / LDT	540 / LDT
4	Turkey	Weak	300 / LDT	310 / LDT	320 / LDT

**Subject L/C approval*

BANGLADESH

No go!

Frustrations.

Despite Owners & Cash Buyers attempts to commit their vessels into Bangladesh, it turned into an extremely frustrating (& failed) exercise that resulted in an inert week in Chattogram, since local Buyers continue to present lowball and opportunistic offers, only to lose out on those units to competing markets.

The weakened state of domestic fundamentals coupled with prevailing economic concerns, all of it mixed with the monsoon rains certainly seem like the key drivers behind the current state of pricing affairs.

Sales.

For starts as demand for steel intended for national infrastructure projects has slowed significantly amidst the intense monsoon rains this year, local steel plate prices have resumed flatlining on account of a standstill in the trading of ship's steel with domestic steel mills.

Moreover, the Bangladeshi Taka hit a record BDT 109.38 against the U.S. Dollar this week, further adding to the ongoing hassle that the Bangladeshi ship recycling sector has become today.

Notwithstanding, even though a couple of geographically convenient 'as is' dry bulk sales have taken place this week that could see Chattogram Buyers get their hands on these units, the chances that these could handily be redirected to a competing destination remains rather high, given just how disastrously Chattogram Buyers are toying with their local offerings are at present.

At the onset, bulk carrier B H MALLY (9,379 LT) was concluded for a decent USD 465/LDT, basis an 'as is' South China delivery and with 200 Tons of bunkers included in the sale. Subsequently, the Handymax bulker AN YUE (7,985 LDT) was committed for an equally firm USD 475/LT LDT basis an 'as is' Singapore delivery, also with 200 Tons of fuel onboard.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
AN YUE	Bulker	7,985	USD 475/LT LDT ('as is' Singapore with 200 Ts bunkers)
B H MALLY	Bulker	9,379	USD 465/LT LDT ('as is' South China with 200 Ts bunkers)

INDIA

FLACCID!

At a time when Indian Recyclers have a real chance to strike out much of the competition and secure most of the meagre amounts of tonnage that is currently on offer, local Buyers have failed to distinguish themselves from the crowd by lowering their prices this week.

Lowering.

Unfortunately, at a time when resilience is the key, the chance to secure vessels seems to be squandered away by Alang Recyclers.

Like Bangladesh, fundaments certainly have their share to add to the current state of affairs as the Indian Rupee once again approaches Rs. 83 against the U.S. Dollar, while local steel plate prices declined by about USD 12 / Ton by the time the week ended.

Some sales.

Should this continue, we may well see previous and even fresh market deals concluded by various Cash Buyers (with an India redelivery in mind), eventually ending up in a competing market with firmer offers, so flaccid are Alang prices at present.

The old sale of Panamax Bulker AGIOS NIKOLAOS (9,743 LDT) surfaced this week as the vessel was previously committed to a Cash Buyer at a decent USD 540/LT LDT basis an 'as is' Singapore delivery and a reported India redelivery in mind. The unit remains unsold due to the declining prices and is still idling in Singapore, almost certain to lose money on this transaction.

Additionally, container vessel HENG HUI 2 (14,775 LDT) was likewise concluded for a surprisingly firm USD 550/LDT, basis an 'as is' Colombo delivery and with 300 Tons of bunkers included in the sale.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
AGIOS NIKOLAOS	Bulker	9,743	USD 540/LT LDT ('as is' Singapore, Old Sale)
HENG HUI 2	Container	14,775	USD 550/LT LDT ('as is' Colombo with 200 Tons)

PAKISTAN

QUESTIONABLE!

Could secure.

Pakistan has inadvertently found itself in a situation whereby, Gadani Buyers could secure any of the recently committed 'as is' units that are currently (or may soon be) on offer, and this most recent declining of Bangladeshi and Indian prices has found the Pakistani market thrust atop the price / market rankings this week, with some unexpectedly firm indications coming forth as well.

Finance issues.

Pakistani L/C and financing issues logically remain a big concern for the industry, especially after a dire year of economic and political hurdles in the country, coupled with declining fundamentals that have only further added to the crippling of this market.

On the domestic fundamentals front, not only has the Pakistani Rupee collapsed back to a record PKR 287.2X level against the U.S. Dollar, but local steel plate prices also need to be resuscitated from their months long flatlined demise.

Moreover, Pakistan has had virtually no L/C and finance approvals on vessel purchases for quite some time now and as such, the country remains a precarious destination to consider business dealings with, at least until a couple of sales have been concluded into Gadani and the industry gets acclimatized to doing business here once again.

Notwithstanding, given the incredible lowball offers emanating from Bangladesh and even India at present, Owners and Cash Buyers might as well be giving the Pakistani market a serious second look and as such, it will therefore be interesting to see just which vessels will end up at Gadani's waterfront.

NO MARKET SALES REPORTED

TURKEY

DEAD QUIET!

For the most part, the Turkish market remained reportedly devoid of activity for yet another week as the recently deteriorated vessel prices remained unchanged for the week and the Turkish Lira, though stable, remains depreciated at a historic TRY 27.X against the U.S. Dollar.

Historic TRY 27.X.

The only positive movement for the week (without any positive outcome in return) were steel prices whereby import steel firmed by about USD 10/Ton and local steel prices improved by about USD 6/Ton.

Notwithstanding, despite all the ongoing volatility in fundamentals, there is little this market can do in the face of intense tonnage starvation, which has left this market unable to maintain a pulse.

Maintain a pulse.

As such, this market remains dead quiet for now.

NO MARKET SALES REPORTED

INTERESTING SCIENCE FACTS

- *Evolution isn't just a straight line. It's more of a tree with lots of branches extending from one species to multiple others that have evolved from it.*
- *Physically, the human body hasn't changed much in the past 50 thousand years, but better diets, exercise, and environments have increased our lifespan.*
- *Human hands have actually evolved to be able to do more damage with strike on our fists. Also, our faces have evolved to take a punch.*
- *The human brain is gradually shrinking. We may be getting smarter, but are brains are becoming more compact.*
- *Our longer lifespans may be because of our incredibly slow metabolisms, in comparison to other species of animals.*
- *There is more carbon dioxide in the atmosphere right now than there has been in the last 800,000 years.*
- *Since 1870, the sea levels around the globe have risen 8 inches due to ice melting at the polar caps.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
August 15 – Independence Day August 31 – Raksha Bandhan	August 14 – August 20 August 28 – September 06

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
August 15 – National Mourning Day	August 16 – August 19 August 30 – September 02

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No Holidays in August	August 14 – Independence Day	August 30 – Victory Day

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ALANG - Port Position as of August 11, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Nova Florida*	*3,374*	*Reefer*	*Beached August 08*
Total Tonnage		**3,374**		

CHATTOGRAM - Port Position as of August 11, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Eno	10,841	Woodchip Carrier	Arrived August 02
2	*Fu Sheng*	*10,780*	*Bulk Carrier*	*Beached August 07*
3	Pilatus 28	1,030	LNG	Arrived August 11
4	*PSN*	*870*	*Tanker*	*Beached August 07*
5	Vila Dhauru	1,253	Reefer	Arrived August 08
6	Well Win	8,940	Bulk Carrier	Arrived July 11
Total Tonnage		**33,714**		

GADANI - Port Position as of August 11, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		**-**		

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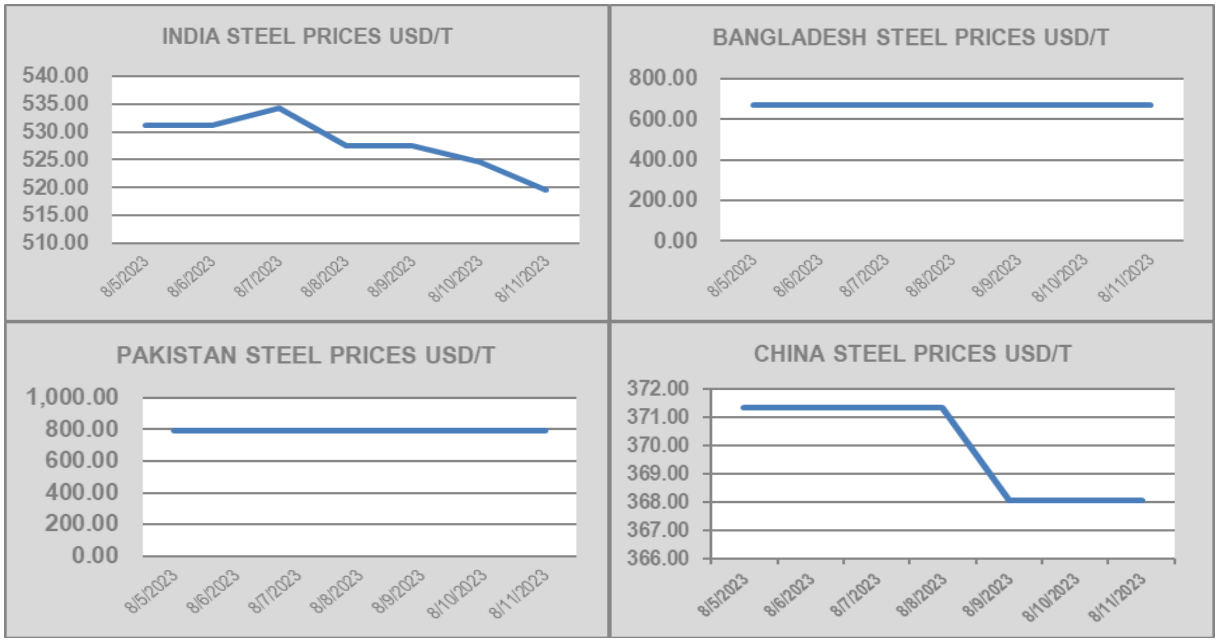
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
8/5/2023	531.14	44,000.00	794.22	220,000.00	672.81	73,000.00	371.35
8/6/2023	531.14	44,000.00	794.22	220,000.00	672.81	73,000.00	371.35
8/7/2023	534.20	44,200.00	794.22	220,000.00	672.81	73,000.00	371.35
8/8/2023	527.52	43,700.00	794.22	220,000.00	672.81	73,000.00	371.35
8/9/2023	527.59	43,700.00	794.22	220,000.00	672.81	73,000.00	368.08
8/10/2023	524.66	43,400.00	794.22	220,000.00	672.81	73,000.00	368.08
8/11/2023	519.57	43,000.00	794.22	220,000.00	672.81	73,000.00	368.08



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